POST-CONTRACT-REVIEW · DECISION FRAMEWORK

Optimize Existing or Go to Market? *The Decision Framework PBS Uses After Every Contract Review.*

Three variables decide whether to negotiate redlines with the current PBM or issue an RFP for a new vendor. The framework that turns audit findings into a strategic recommendation.

> Every PBM contract review ends with one of two recommendations: optimize the existing relationship through amendments and redlines, or go to market through an RFP. This is the framework PBS uses to make that call. Three variables decide it. The variables sit on different time horizons and require different data, but together they produce a clear strategic recommendation that the benefits committee can act on.

01 Quantify the gap (dollar magnitude of audit findings)

Estimate the annual dollar impact of each contract-review finding: rebate-definition narrowing · GER miss × claims volume · channel-margin spread × specialty claim volume · network drift × per-claim impact · performance-remediation owed × frequency. The pattern: when audit findings exceed roughly 5-7% of total annual pharmacy spend, the gap is large enough that going to market is typically worth the disruption. Below that threshold, optimizing existing usually wins.

02 Negotiability assessment of the current PBM

How responsive is the current PBM to amendments? Look at prior amendment history (accepted redlines in past 24 months?), account team responsiveness during the contract review, disclosure-obligation fulfillment, and response to mid-year notifications. A responsive PBM with a minor-to-moderate gap = optimize existing. A non-responsive PBM with any gap = go to market regardless of dollar magnitude, because the gap will widen at every renewal.

03 Switching cost analysis

If go-to-market is on the table, what does the switch actually cost? Member disruption risk, data portability, runoff economics, early-termination fees, implementation timeline (4-6 months minimum). The Termination Clause and Member Transition Audit Toolkits feed this assessment. Weak termination or weak data return obligations meaningfully raise switching cost.

04 The Pattern PBS Sees Most Often

> **Across hundreds of PBM contract reviews annually at PBS:** roughly 70% optimize existing (current PBM is responsive enough to negotiate redlines, gap is closeable), 30% go to market (gap is too large or the PBM is not responsive). The 30% who go to market and execute the RFP correctly typically capture 8-15% of annual pharmacy spend in the first new-contract year. The 70% who optimize existing typically capture 3-7%.

05 Paste-Ready: Send to Your Broker or PBM

OPTIMIZE-VS-MARKET SCORING RUBRIC

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Variable                          Score   Notes
  1. Annual audit-finding gap ........  $____   _________________
     (% of total pharmacy spend) .....  ____%

  2. PBM Negotiability (1-5):
     · Prior amendment history .......  ___     Accepted redlines in past 24 mo?
     · Data request responsiveness ...  ___     Days to fulfill review requests
     · Disclosure fulfillment ........  ___     All 5 annual disclosures received?
     · Account team continuity .......  ___     Turnover in past 12 months
     SUBTOTAL (out of 20) ............  ___

  3. Switching Cost Analysis:
     · Member disruption risk (1-5) ..  ___
     · Data portability strength (1-5)  ___     1=weak, 5=strong contract
     · Runoff economics (1-5) ........  ___     Short = high score
     · Early-termination fee ($) .....  $____

Recommendation Logic:
  · Audit-finding gap < 3% of pharmacy spend → optimize existing
  · Gap 3-7% AND PBM Negotiability > 12/20 → optimize existing
  · Gap 3-7% AND PBM Negotiability < 12/20 → go to market
  · Gap > 7% → go to market regardless of negotiability
  · Switching cost > 50% of expected first-year savings → reconsider

Final Recommendation: ____________________________
Written rationale: ____________________________________________
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06 This Quarter's Action Plan

STEP 1 · APPLY THE RUBRIC

Score the three variables using the rubric above

Use audit findings from the contract review (or run them yourself with the per-mechanic Toolkits). Document the rationale for each score.

STEP 2 · IF OPTIMIZE EXISTING

Schedule the amendment process

Use the Contract Amendment Letter Template Toolkit (W24) for each redline. Mid-year amendment window beats year-end. Document every PBM response in writing.

STEP 3 · IF GO TO MARKET

Schedule the RFP process

Use the RFP Scoring Methodology Audit Worksheet (W25) before drafting the RFP. The 4-6 month timeline runs from RFP launch to new-PBM go-live; backplan from your desired effective date.

STEP 4 · EITHER WAY

Schedule the next Pharmacy Benefit Review

Use the PBR Twice-Yearly Framework Toolkit. Mid-year and year-end PBRs become the ongoing oversight cadence regardless of which decision the committee makes.